

Notes: Dube, Kaplan, and Naidu (QJE, 2011)

Coups, Corporations, and Classified Information

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1 Big picture

- **Question.** Do top-secret coup authorizations and covert regime-change events show up in asset prices of companies that stood to benefit from U.S.-backed or allied covert operations?
- **Setting.** The paper studies Cold War coups and coup attempts in countries where governments had expropriated assets from publicly traded multinational firms: Iran, Guatemala, Congo, Cuba, and Chile.
- **Core empirical object.** The authors examine daily stock returns of firms whose assets were nationalized or expropriated by regimes targeted for covert overthrow.
- **Key exposure measure.** A firm's exposure is the value of assets expropriated in the country divided by the firm's pre-regime market capitalization. A fully exposed firm has exposure equal to one.
- **Main result.** Stock prices of highly exposed firms increase after top-secret coup authorization events. For a fully exposed firm, the average four-day cumulative abnormal return is about 9%, and the effect rises over longer windows.
- **Private-information interpretation.** Because the events are classified authorizations, the stock-price reactions suggest that information about covert operations leaked to market participants.
- **Timing result.** Returns rise after authorization events but do not show clear pretrends before the events. This is important because it makes the effect look like event-related information rather than a pre-existing trend.
- **Negative case.** Cuba behaves differently. The paper finds no meaningful effect for the Cuban operations, which were unusually public, widely discussed, and poorly executed. This supports the view that the main results are tied to credible private information.
- **Economic magnitude.** The paper argues that authorization events accounted for a larger share of stock price gains than the coups themselves. For successful coups, much of the value had already been capitalized before the public regime change.
- **Economic takeaway.** Covert foreign policy created large private gains for exposed corporations, and classified information appears to have diffused into financial markets before the public political outcome.

2 Incremental contribution of the paper

- **From political connections to covert state action.** Prior political-economy work studies how firms benefit from public political connections and favorable regimes. This paper studies benefits from covert state actions that were not publicly announced.
- **A new asset-pricing window into classified information.** The paper uses stock prices to infer whether supposedly top-secret policy decisions leaked into markets. The information being traded on concerns government policy, not ordinary firm news.

- **A direct link between foreign intervention and corporate value.** The paper shows that regime-change plans had economically meaningful value for companies whose assets had been expropriated.
- **A historical data contribution.** The paper reconstructs event timelines from declassified CIA and allied-government documents and links them to firm-level expropriation exposure and daily stock returns.
- **A decomposition contribution.** The authors compare the gains around authorization events with gains around actual coup events. This separates value created by secret planning from value revealed by public regime change.
- **A methodological contribution.** The paper introduces small-sample, distribution-free tests for event studies. These tests are useful because the sample has few coups and few authorization events, so asymptotic normal approximations may be unreliable.
- **A market-efficiency contribution.** The results speak to how private information is incorporated into prices. The gradual increase in abnormal returns after authorization events is consistent with slow diffusion of private information.
- **A political-economy contribution.** The paper provides evidence consistent with large corporate incentives to support, lobby for, or trade on covert regime-change efforts, while being careful that it cannot identify exactly who traded or why policy makers acted.

3 Data and measurement

3.1 Coup and event sample

- The sample starts from covert operations in which the CIA or allied governments attempted regime change.
- The authors keep cases where planning documents are declassified and where the targeted government had expropriated property from a publicly listed multinational firm.
- The five main cases are Iran, Guatemala, Congo, Cuba, and Chile.
- Each case involves a government that threatened, nationalized, or expropriated assets from firms that had a potential gain from regime change.
- Authorization events are dates when a coup was approved by a president, prime minister, intelligence agency head, ministry, or when at least \$1 million was allocated to the overthrow effort.
- Authorization events are coded as good if they raise the probability of regime change and bad if they lower it. Cancellations and deauthorizations are coded as negative news for exposed firms.

Interpretation: The event sample is narrow but historically disciplined. The paper is not studying all coups; it is studying coups where secret planning dates can be reconstructed and where publicly traded firms had measurable exposure.

3.2 Firms, exposure, and returns

- The firm sample includes companies whose assets were expropriated in the coup countries.
- Daily stock returns are obtained from CRSP or archival sources.
- The main firm-level exposure measure is

$$Exposure_{fc} = \frac{\text{value of assets expropriated from firm } f \text{ in country } c}{\text{average market capitalization of firm } f \text{ before the regime}}.$$

- Exposure scales the stock-price response: a firm with more nationalized assets should gain more from a successful coup authorization.
- The paper also uses daily Fama-French factors: excess market return, SMB, HML, and momentum.
- The authors create a daily count of *New York Times* articles mentioning both the country and the country's leader to control for public political news.

Interpretation: Exposure is the bridge between political events and asset prices. The same secret authorization should matter more for firms with larger expropriated stakes.

3.3 Public events and controls

- The paper also codes public events from the official timelines.
- Public events include nationalizations, regime transitions, and regime consolidations.
- These events are coded as good or bad depending on whether they should increase or decrease the value of exposed firms.
- The paper uses these public events and newspaper-coverage controls to distinguish reactions to classified decisions from reactions to public political news.

Interpretation: The classification of secret and public events is central. The key claim is not merely that firms gain when coups occur, but that they gain around classified authorization decisions.

3.4 Country-level cases

- **Iran.** The Mossadeq government nationalized Anglo-Iranian Oil assets. CIA and MI6 planning culminated in the 1953 coup.
- **Guatemala.** The Arbenz government nationalized much of United Fruit's assets. CIA operations PB/Fortune and PB/Success are key events.
- **Congo.** The paper studies events around Lumumba and the interests of Union Miniere, including Belgian operation events.
- **Cuba.** Castro nationalized U.S. assets before the failed Bay of Pigs operation and later Operation Mongoose.

- **Chile.** The Allende government and copper nationalizations exposed firms such as Anaconda and Kennecott to regime-change gains.

Interpretation: The sample deliberately combines historical variation with a common economic structure: expropriated multinationals should benefit if the expropriating regime is removed.

4 Models and empirical specifications

4.1 Regression event-study specification

The main regression method estimates abnormal returns using an augmented Fama-French factor model:

$$R_{ft} = X_t\beta_f + \gamma_c E_{ft}(k) + \varepsilon_{ft}.$$

- R_{ft} is the one-day raw stock return for firm f on date t .
- X_t contains the four market factors: excess market return, SMB, HML, and momentum.
- $E_{ft}(k)$ equals the firm's exposure for the k -day window beginning on an authorization date and zero otherwise.
- γ_c is the average daily abnormal return for country c over the event window.
- The cumulative abnormal return over a k -day window is approximately $k\gamma_c$.
- For multi-country specifications, the paper reports the average of country-specific coefficients.

Interpretation: This is a difference-in-exposure event study. It asks whether exposed firms earn abnormal returns in the days after secret authorization events, after removing general market movements.

4.2 Event-window choices

- The benchmark window is four days, beginning with the authorization date.
- The paper also reports windows from one day to sixteen days.
- Longer windows matter because private classified information may diffuse slowly rather than being incorporated immediately.
- The sample period for a country runs from one year before the nationalizing regime comes to power until the day before the coup begins.

Interpretation: A public announcement should be priced quickly. A top-secret authorization may instead create a gradual price response if information leaks through limited channels.

4.3 Small-sample tests

The paper supplements regressions with distribution-free small-sample tests.

- The authors first estimate a market model in a pre-event estimation window.
- They compute four-day cumulative abnormal returns for authorization-event windows.
- Firm-level CARs are weighted by relative exposure within country to form country portfolios.
- The sign-style test counts how many event returns exceed a percentile of the estimation-window distribution.
- The rank-style test converts event returns into percentile ranks and evaluates whether the mean rank is unusually high.
- These tests are designed to avoid relying on large-sample approximations in a setting with few events.

Interpretation: The small-sample tests are important because coup events are rare. The paper therefore checks whether the event returns are unusual relative to the empirical distribution of normal returns.

4.4 Robustness and placebo specifications

- The paper controls for public events and newspaper coverage.
- It drops days with *New York Times* coverage mentioning the country and leader.
- It controls for local 20-day trends around authorization dates.
- It runs market-index placebos and matched-company placebos.
- It shifts event dates forward and backward to test whether the effect appears only at the true authorization dates.
- It studies trading volume as an additional implication of private-information trading.

Interpretation: The robustness tests ask whether the main effect is really about classified authorization news rather than public news, broad market movements, industry shocks, or arbitrary event-window timing.

4.5 Gain decomposition

The paper decomposes the total gain from a coup into gains from authorization events and gains from the coup window:

$$(1 + R_{c,Auth})^N(1 + R_{c,Coup}),$$

where $R_{c,Auth}$ is the cumulative abnormal return around authorization events, N is the net number of authorization events, and $R_{c,Coup}$ is the return around the public coup or new-government event.

Interpretation: This decomposition asks whether the value of regime change was realized only when the coup became public or whether much of it had already been priced during the secret planning phase.

5 Identification and empirical design

5.1 What the design can identify

- The design identifies abnormal stock returns around secret coup authorization events for firms with measurable exposure to the targeted country.
- The strongest interpretation is that classified information leaked into asset prices.
- The design can estimate the stock-market value of coup authorizations for exposed firms.
- It can also compare private authorization-related gains with public coup-related gains.

Interpretation: The paper is strongest as an event-study test of information leakage and corporate value effects. It is not a randomized experiment in foreign policy.

5.2 Threats to identification

- **Public information.** If authorization events coincide with public news, returns may reflect public information rather than secret information.
- **Pretrends.** If stock prices were already rising before authorization events, event-window returns could reflect trends rather than news.
- **Industry shocks.** Exposed firms may share industries, such as oil or mining, that have common shocks.
- **Small sample.** The number of countries and authorization events is limited.
- **Exposure measurement.** Historical estimates of expropriated asset values may be noisy.
- **Selection.** The study requires declassified planning documents, so it cannot cover all possible covert operations.

Interpretation: The paper addresses these concerns with public-news controls, matched-company placebos, market placebos, time-shifted placebos, and exact small-sample tests.

5.3 Why Cuba is informative

- Cuba has no meaningful abnormal-return response to authorization events.
- The paper argues that the Cuban case was publicly discussed, widely leaked, and organizationally weak.
- If authorization news is already anticipated or not credible, top-secret authorizations should not create large new price movements.

Interpretation: Cuba functions as a useful contrast. The absence of effects there makes the positive results in other countries less likely to be a mechanical artifact of the methodology.

5.4 What the design cannot identify

- The paper cannot identify exactly who traded on the information.
- It cannot prove whether the affected corporations caused the coups or decisively influenced U.S. policy.
- It cannot separate all possible channels of information leakage, such as corporate contacts, intelligence contacts, diplomatic contacts, or informed intermediaries.
- It cannot fully generalize to covert operations without declassified planning documents or without publicly traded exposed firms.

Interpretation: The evidence is powerful about market pricing and leakage, but more cautious about political causality and trader identity.

6 Tables and figures

6.1 Table I and Table II: Coup selection and authorization-event selection

Read:

- Table I lists CIA and related covert operations and shows which cases satisfy the paper's criteria: coup planning, declassified planning documents, and expropriated multinational property.
- The final sample includes Iran, Guatemala, Congo, Cuba, and Chile because these are the cases with regime-change operations, planning documents, and measurable corporate exposure.
- Table II lists the authorization events used in the event study and codes whether each event is good news or bad news for exposed firms.
- The authorization events include presidential approvals, intelligence-agency approvals, appropriations, cancellations, and the secret killing of Lumumba.
- The table makes clear that the core variation is not the public coup date alone; it is the sequence of classified planning decisions before the public outcome.

Economic message: These tables define the event-study sample. The contribution depends on reconstructing exactly when secret information should have changed the market's belief about the probability of regime change.

TABLE I
COUP SELECTION

Project	Country	Year	Planning Docs		Description	Coups	
			Declassified			Exprop.	
Ajax	Iran	1953	Yes		Coup against Mossadeq	Yes	Yes
FU/Belt	Chile	1970-73	Yes		Coup against Allende	Yes	Yes
Bloodstone	Germany	1946	No		Recruitment of Nazis	No	No
Brushfire	US	1955	Yes		Propaganda at Universities	No	No
Camelot	Chile	1960s	No		Funded Anthro. Research	No	NA
ST/Circus	Tibet	1955	No		Trained Tibetan Rebels	Yes	No
Democracy	Nicaragua	1985	No		Anti-Sandinista Operations	No	Yes
IA/Feature	Angola	1975	No		Supported Savimbi	No	Yes
Fiend	Albania	1949	No		Insurgency	Yes	No
PM/Forget	All over	1950s	No		Pro-U.S. Media Distortion	No	NA
Haik	Indonesia	1956/57	No		Military Support for Rebels	Yes	Yes
HardNose	Vietnam	1965	No		Disrupt Viet Cong Supplies	No	No
Momentum	Laos	1959	No		Trained Hmong in Laos	No	No
Mongoose	Cuba	1961	Yes		Post-Bay of Pigs Operations	No	Yes
Opera	France	1951	No		Electoral Manipulations	No	No
Paper	China	1951	No		Invasion from Burma	No	No
PB/Fortune, PB/Success	Guatemala	1952-54	Yes		Coup Against Arbenz	Yes	Yes
Stole	N. Korea	1950/51	No		Sabotage	No	No
Tiger	Syria	1956	Yes		Assassination Attempts	No	No
Washtub	Guatemala	1954	Yes		Anti-Arbenz Propaganda	No	Yes
Wizard	Congo	1960	Yes		Lumumba Assassination	Yes	Yes
Zapata	Cuba	1960-61	Yes		Bay of Pigs	Yes	Yes

Notes. Project is the name of the operation. Country is the target country of the operation. Year is the year when the operation was carried out. Planning documents records yes if the planning documents are publicly available. Description is a description of the operation. Coup is recorded as yes if a coup was planned as part of the operation and no otherwise, and Exprop. refers to whether the regime nationalized (or expropriated) property from multinational firms operating within the country.

(a) Table I: Coup selection

TABLE II
AUTHORIZATION EVENT SELECTION

Date	Country	Description	Good Canceled	
			Good	Canceled
September 15, 1970	Chile	Nixon Authorizes Anti-Allende Plan (Incl.Foss.Coup)	Y	N
January 28, 1971	Chile	40 Committee Appropriates \$1.2 Million	Y	N
October 26, 1972	Chile	40 Committee Appropriates \$1.4 Million	Y	N
August 20, 1973	Chile	40 Committee Appropriates \$1 Million	Y	N
August 18, 1960	Congo	Eisenhower Endorses Lumumba's Elimination	Y	Y
September 12, 1960	Congo	Belgian Operation Barracuda Begins	Y	Y
October 11, 1960	Congo	Operation Barracuda Canceled	N	Y
December 5, 1960	Congo	CIA Stops Operation	N	Y
January 18, 1961	Congo	Lumumba Secretly Killed	Y	N
March 17, 1960	Cuba	Eisenhower Approves Plan to Overthrow Castro	Y	N
August 18, 1960	Cuba	Eisenhower Approves \$13 Million to Overthrow Castro	Y	N
January 30, 1961	Cuba	Kennedy Authorizes Continuing Bay of Pigs Op	Y	N
November 4, 1961	Cuba	Operation Mongoose Planning Authorized	Y	Y
February 26, 1962	Cuba	Operation Mongoose Scaled Back	N	Y
October 30, 1962	Cuba	Operation Mongoose Cancelled	N	Y
August 18, 1952	Guatemala	DCIA Approves PBFortune (Coup to Overthrow Arbenz)	Y	Y
October 8, 1952	Guatemala	PBFortune Halted	N	Y
December 9, 1953	Guatemala	DCIA Approves PBSuccess (Coup to Overthrow Arbenz)	Y	N
April 19, 1954	Guatemala	Full Approval Given to PBSuccess	Y	N
April 19, 1953	Iran	CIA/M16 Both Approve Coup	Y	N
July 1, 1953	Iran	Churchill Approves Coup	Y	N
July 11, 1953	Iran	Eisenhower Approves Coup	Y	N

Notes. Date is the date of the event. Country is the target country of the coup attempt. Description gives a brief description of the event. Good is coded as Y if the event should raise the share value of the company and N if the event should lower the share value of the company. Canceled is coded as Y if the operation was cancelled and N if it was executed; the 40 Committee was the subgroup of the executive branch National Security Council responsible for authorizing covert actions after 1964.

(b) Table II: Authorization-event selection

6.2 Table III: Summary statistics

Read:

- Table III reports firm-country observations, market capitalization, expropriated values, exposure, raw returns, volume, and newspaper coverage.
- Exposure varies substantially across firms. Examples include high exposure for American Sugar in Cuba and meaningful exposure for Anglo-Iranian in Iran, Union Miniere in Congo, and United Fruit in Guatemala.
- Some countries have many firms, such as Cuba and Chile, while other cases rely on one highly exposed firm.
- The *New York Times* article-count variable is much higher for Cuba than for the other countries, consistent with Cuba being unusually public.

Economic message: The table shows why exposure-weighting is necessary. The value of the same coup authorization should be much larger for firms with a larger share of value tied to expropriated assets.

TABLE III
SUMMARY STATISTICS

Variable									
Company	Country	N	4-Digit SIC	Market Cap	Exprop. Value	Exposure	Mean (Raw Return)	SD (Raw Return)	Daily Avg. <i>NYT</i> Stories
Anconda Co	Chile	2224	3333	4.80E+08	3.20E+08	0.6666	0.0000	0.0234	24298.61
Bethlehem Steel Corp	Chile	2225	3312	9.79E+08	2.50E+07	0.0255	0.0002	0.0177	36475.6
Cerro Corp	Chile	2224	1031	1.53E+08	1.41E+07	0.0923	-0.0001	0.0231	11858.5
General Tire & Rubr Co	Chile	2225	3011	3.29E+08	1.20E+07	0.0365	-0.0002	0.0188	14514.7
International Tel & Teleg Corp	Chile	2223	3662	2.57E+09	1.07E+08	0.0417	0.0000	0.0183	61939.7
Kennecott Copper Corp	Chile	2225	3531	1.33E+09	2.17E+08	0.1633	0.0002	0.0194	3154.1
Union Miniere	Congo	1124	1021	1.85E+11	6.25E+10	0.3379	-0.0009	0.0268	0.8823
American Sugar Refng Co	Cuba	2085	2061	5.84E+07	5.52E+07	0.9452	0.0007	0.0167	709.2
Canada Dry Corp	Cuba	2088	2090	4.90E+07	1.11E+06	0.0227	0.0003	0.0127	1949.1
Coca Cola Co	Cuba	2087	2090	6.05E+08	1.87E+07	0.0310	0.0005	0.0115	2301.3
Colgate Palmolive Co	Cuba	2087	2841	2.79E+08	9.88E+06	0.0354	0.0006	0.0167	3880.8
Continental Can Inc	Cuba	2089	3411	5.55E+08	6.07E+06	0.0109	-0.0001	0.0165	4590.7
Freeport Sulphur Co	Cuba	2089	1477	2.26E+08	6.02E+07	0.2658	0.0002	0.0171	2730.5
International Tel & Teleg Corp	Cuba	2087	3662	5.40E+08	8.90E+07	0.1649	0.0005	0.0206	11711.5
Lone Star Cement Corp	Cuba	2087	3272	2.52E+08	1.69E+07	0.0672	0.0001	0.0163	3543.9
Swift & Co	Cuba	2088	2011	2.44E+08	4.05E+06	0.0166	0.0000	0.0127	2607.2
United Fruit Co	Cuba	2088	2062	3.03E+08	5.88E+07	0.1941	-0.0002	0.0165	7255.9
Woolworth F W Co	Cuba	2088	5331	5.58E+08	6.26E+06	0.0112	0.0002	0.0106	3537.8
United Fruit Co	Guatemala	3469	120	5.31E+08	7.83E+07	0.1475	0.0001	0.0116	3412.3
Anglo-Iranian	Iran	2391	2910	7.46E+09	2.31E+09	0.3103	0.0006	0.0204	0.7525

Notes. Summary statistics by country and company are shown over the event window. *N* gives the number of observations for the majority of listed variables for a given company in a given country; in some cases, particular variables are missing for a few days for a given company/country. Market Cap is the average price times the outstanding shares starting two years before the nationalizing regime comes to power and ending one year before the nationalizing regime comes to power. Expropriated Value is the dollar amount of the assets that were expropriated from the company by the coup country government. Exposure is the ratio of nationalized to total assets for the company/country. Raw returns and volume are at the daily level. Daily Average *NYT* Stories are daily counts of articles in the *New York Times* which mention both a country and the country's leader by name.

Table III: Summary statistics

6.3 Table IV: Main effects of secret coup authorizations

Read:

- Table IV reports cumulative abnormal returns around authorization events for windows from one day to sixteen days.
- For all coups, the four-day effect is about 9.4% for a fully exposed company and is statistically significant.
- For successful coups, the effects are larger than in the full sample because Cuba contributes little or no positive response.
- The effect grows over longer windows, which is consistent with slow incorporation of private information into prices.
- The strongest country-level effects are in Congo, Guatemala, and Iran. Chile is positive but weak, and Cuba is essentially zero.
- Canceled-coup events also move prices, supporting the idea that stock prices respond to changes in beliefs about coup probability rather than only to the final public coup.

Economic message: Table IV is the paper's core result. Secret coup authorizations are valuable news for exposed companies, and the market appears to learn about this supposedly classified information.

TABLE IV EFFECT OF SECRET COUP AUTHORIZATIONS ON STOCK RETURNS. MAIN EFFECTS: CUMULATIVE ABNORMAL RETURNS						
	(0,0)	(0,3)	(0,6)	(0,9)	(0,12)	(0,15)
All Coups	0.0435 (0.0162)***	0.0838 (0.0270)***	0.0990 (0.0345)***	0.1055 (0.0390)***	0.1204 (0.0424)***	0.1342 (0.0522)**
Successful Coups	22157 (0.0551)	22157 (0.1208)	22157 (0.1274)	22157 (0.1309)	22157 (0.1459)	22157 (0.1640)
Canceled Coups	8555 (0.0201)***	8555 (0.0336)***	8555 (0.0425)***	8555 (0.0481)***	8555 (0.0523)***	8555 (0.0647)**
Chile	0.0729 (0.0056)	0.1341 (0.0274)	0.1414 (0.0373)	0.1359 (0.0451)	0.1564 (0.0510)	0.1971 (0.0620)
Congo	0.1667 (0.0771)**	0.2270 (0.1196)*	0.2014 (0.1353)	0.2429 (0.1426)*	0.2283 (0.1546)	0.2581 (0.1719)

(a) Table IV: Main effects, part 1

TABLE IV (CONTINUED)						
	(0,0)	(0,3)	(0,6)	(0,9)	(0,12)	(0,15)
Congo-Belgium events	0.2730 (0.0794)***	0.2632 (0.1895)	0.3179 (0.1972)	0.4260 (0.2029)**	0.3914 (0.2182)*	0.4622 (0.2260)**
Cuba	-0.0030 (0.0079)	-0.0141 (0.0125)	-0.0147 (0.0178)	0.0039 (0.0202)	0.0183 (0.0222)	0.0147 (0.0263)
Guatemala	13602 (0.0491)	13602 (0.1650)	13602 (0.2049)	13602 (0.1365)	13602 (0.1136)	13602 (0.1274)
Iran	0.0144 (0.0110)	0.0739 (0.0184)***	0.1090 (0.0428)**	0.1229 (0.0385)***	0.1359 (0.0349)***	0.2017 (0.0792)**

Notes. For single country regression, the reported coefficient is an indicator for authorization events interacted with company exposure, multiplied by the length of the window. Multi-country regressions report the mean of the country coefficients. All regressions control for an interaction of a company dummy for country-specific company dummy for multi-country regressions with the four Fama-French factors. All data where a company changed its name or changed its outstanding shares by more than 5% were dropped. One day price changes greater than 5% in magnitude were dropped. "Successful coups" excludes Cuba. "Canceled coups" only uses authorizations and deauthorizations of coups that were eventually canceled. Column numbers at the top in parentheses denote the number of days before and after the authorizations which are included as part of the dummy variable for the authorization event, e.g., (0,3) refers to the return between the event date and three days after the event date. Standard errors reported in parentheses are the maximum of clustered by company, clustered by date, and robust. Statistical significance at 10%, 5%, and 1% levels is denoted by *, **, and ***, respectively.

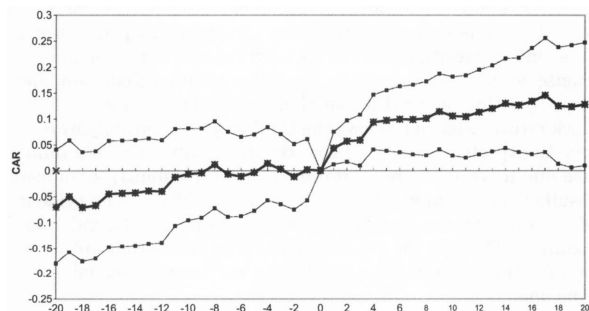
(b) Table IV: Main effects, part 2

6.4 Figures I and II: Cumulative abnormal returns around authorization events

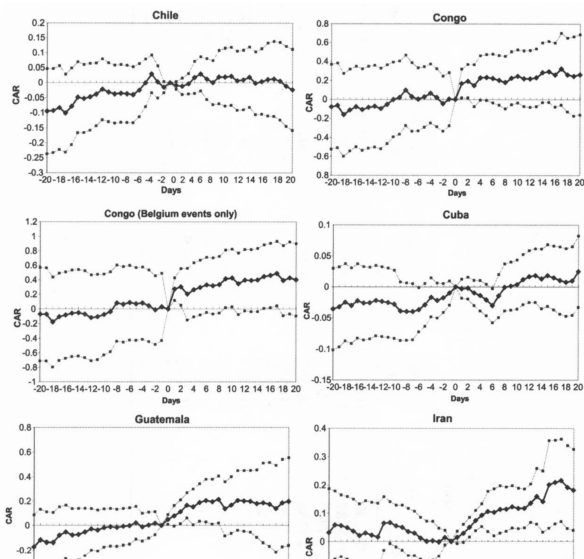
Read:

- Figure I plots cumulative abnormal returns for all countries from 20 days before to 20 days after authorization events.
- There is no strong pre-event run-up, but abnormal returns rise after the event date and remain elevated.
- Figure II repeats the exercise by country and shows that the aggregate result is driven mainly by Congo, Guatemala, and Iran.
- Cuba does not show the same positive post-authorization pattern.
- The confidence bands show that individual-country estimates are noisier, but the timing pattern is still informative.

Economic message: The figures turn the regression results into event-time evidence. They support the interpretation that authorization events caused new price movements rather than merely occurring during pre-existing trends.



(a) Figure I: Cumulative abnormal returns, all countries



(b) Figure II: Cumulative abnormal returns by country

6.5 Table V: Robustness

Read:

- Table V checks whether the benchmark four-day abnormal return survives alternative specifications.
- The effect remains positive using raw returns, adding public-event and newspaper controls, dropping days with *New York Times* news, and controlling for local trends.

- Market-index placebos are insignificant, suggesting the result is not driven by broad market movements.
- Matched-company placebos are insignificant, suggesting the result is not simply an industry shock.
- Log volume rises around authorization events, consistent with informed trading and heterogeneous beliefs.

Economic message: The robustness tests support the private-information interpretation. Exposed firms move around authorization dates, but comparable market and matched-company portfolios do not.

TABLE V
ROBUSTNESS

	Raw Returns	Public Events/ NYT	No NYT News Subsample	Trend Controls	Market Placebo	Matched Placebo	Log Volume
All Coups	0.0947 (0.0282)***	0.0723 (0.0222)***	0.1249 (0.0137)***	0.0989 (0.0034)***	0.0002 (0.0011)	0.0068 (0.0216)	19.0429 (2.2102)***
Successful Coups	22157 (0.1210)	22157 (0.0909)	7123 (0.1153)	22157 (0.1259)	22157 -0.0013	17239 (0.0111)	20895 26.4944
Chile	0.0365 (0.0371)	0.0191 (0.0279)	0.1006 (0.0765)	0.0243 (0.0319)	0.0154 (0.0106)	-0.0149 (0.0317)	20.4970 (0.7534)***
Congo	6091 (0.1180)*	6091 (0.0909)	3530 -	6091 -	6091 (0.0133)	4764 (0.0216)	6091 -

(a) Table V: Robustness, part 1

TABLE V
(CONTINUED)

	Raw Returns	Public Events/ NYT	No NYT News Subsample	Trend Controls	Market Placebo	Matched Placebo	Log Volume
Cuba	-0.0103 (0.0138)	-0.0154 (0.0124)	0.0276 (0.0365)	-0.0098 (0.0144)	0.0066 (0.0088)	-0.0085 (0.0145)	4.1386 (2.5058)*
Guatemala	13602 (0.1394)	13602 (0.1648)	1899 (0.1573)	13602 (0.1909)	13602 -0.0311	10569 (0.0255)	13571 32.4391
Iran	0.0806 (0.0189)***	0.0738 (0.0189)***	0.1061 (0.0137)***	0.0359 (0.0305)	0.0171 (0.0146)	0.0528 (0.0400)	- -

Notes: Estimates are on (0,3) returns. For single country regressions, the reported coefficient is on an indicator for authorization events interacted with company exposure, multiplied by the length of the window (i.e., 4). Multicountry regressions report the mean of the country coefficients. Except for the "Raw returns" and "Market Placebo" specifications, regression controls for an interaction of a company dummy (or country-specific company dummy for multi-country regressions) with the four Fama-French factors. All dates where a company changed its name or changed its outstanding shares by more than 5% were dropped. One-day price changes greater than 50% in magnitude were dropped. "Successful coup" excludes Cuba. Public information controls include (a) an exposure-interacted country specific effect of the number of New York Times articles mentioning a country and its leader by name and (b) country-specific interaction between public event dummies and exposure. No NYT column drops all observations with any New York Times articles mentioning a country and its leader by name in that date. "Trend Controls" control for local trends by including an additional dummy in a 20-day symmetric window around each authorization date. "Market Placebo" regresses the NYSE return on the exposure-interacted event dates. "Matched Placebo" replaces each company's stock return with that of the company with the closest market capitalization, factor loadings, and mean and standard deviation of returns within the same 3-digit SIC code. "Log Volume" runs the baseline specification with the log of volume as the dependent variable. Standard errors reported in parentheses are the maximum of clustered by company, clustered by date, and robust. Statistical significance at 10%, 5%, and 1% levels is denoted by *, **, and ***, respectively.

(b) Table V: Robustness, part 2

6.6 Figure III: Time-shifted placebos

Read:

- Figure III shifts authorization dates forward and backward and re-estimates the four-day abnormal return.
- The only clearly significant estimate occurs at the true event date.
- Placebo dates shifted by 5 to 40 days do not produce comparable effects.
- This addresses the concern that local serial correlation or general volatility around political crises generates spurious event returns.

Economic message: The figure strengthens the timing argument. The abnormal return is tied to the classified authorization date, not to an arbitrary nearby date.

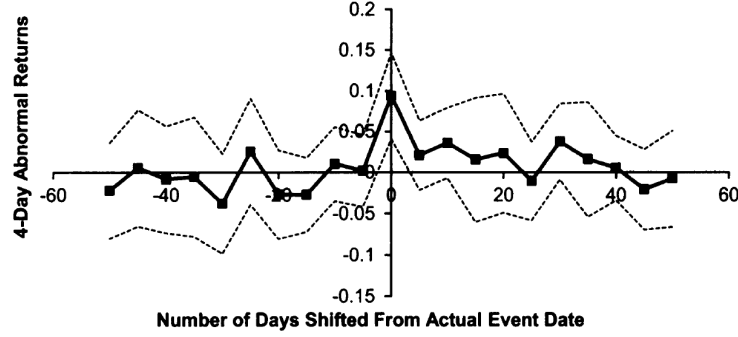


FIGURE III
Time-Shifted Placebos

Figure III: Time-shifted placebos

6.7 Table VI: Small-sample tests

Read:

- Table VI reports exposure-weighted four-day country-portfolio CARs and distribution-free tests.
- The all-country exposure-weighted CAR is about 2.6%, which is the actual average portfolio return rather than the return for a fully exposed hypothetical firm.
- In the full sample, 18 of 22 events have returns above the median of the estimation-window distribution.
- Thirteen events exceed the 80th percentile and eight exceed the 90th percentile.
- The rank and sign tests produce very small probability values for the full sample and successful-coup sample.
- Cuba again stands out as weak, while Congo, Guatemala, and Iran show stronger evidence.

Economic message: The small-sample tests show that the results are not simply an artifact of normal-theory standard errors in a small event sample.

	5 Country	Successful Coups	Chile	Congo	Cuba	Guatemala	Iran
4 Day CAR	0.0262	0.0393	0.0189	0.0768	-0.0086	0.0239	0.0243
Asymptotic Standard Error	(0.0030)***	(0.0039)***	(0.0149)	(0.0195)***	(0.0076)	(0.0093)**	(0.0165)
Number of Events	22	16	4	5	6	4	3
Binomial Sign Test							
Number Above Median	18	15	3	5	3	4	3
Median							
P-Value:	0.0022***	0.0003***	0.3125	0.0313**	0.6563	0.0625*	0.1250
Analytical							
P-Value:	0.0035***	0.0006***	0.3294	0.0355**	0.6602	0.0688*	0.1307
Simulated							
Number Above 80th Percentile	13	12	2	5	1	3	2
P-Value:	0.0001***	0.0000***	0.1808	0.0003***	0.7395	0.0272**	0.1040
Analytical							
P-Value:	0.0002**	0.0000***	0.1921	0.0005***	0.7403	0.0314**	0.1033
Simulated							
Number Above 90th Percentile	8	8	2	3	0	3	0

(a) Table VI: Small-sample tests, part 1

	5 Country	Successful Coups	Chile	Congo	Cuba	Guatemala	Iran
P-Value:	0.0009***	0.0001***	0.0523*	0.00856***	1.0000	0.0037***	1.0000
Analytical							
P-Value:	0.0011**	0.0003***	0.0502*	0.0126**	1.0000	0.0059***	1.0000
Simulated							
Mean Rank	0.7440	0.8195	0.6417	0.9350	0.4418	0.8803	0.8211
P-Value:	0.0000***	0.0000***	0.1700	0.0000***	0.8852	0.0022***	0.0257**
Analytical							
P-Value:	0.0006***	0.0000***	0.1766	0.0001***	0.6952	0.0033***	0.0261**
Simulated							

Notes: This table reports 4 Day Cumulative Abnormal Returns using (exposure weighted) company portfolios for individual countries. Multicountry estimates report averages of country portfolio returns. Asymptotic standard error is computed using standard deviations of returns in the estimation sample. *, **, and *** denote statistical significance using asymptotic inference at the 10%, 5%, and 1% levels, respectively. "Successful Coups" excludes Cuba.
For the Binomial Sign Test, "Number above the median" (and 80th and 90th percentiles) reports the number of 4-day events above the median (and 80th and 90th percentiles) of the abnormal return distribution in the estimation window. "P-Value: Analytical" reports the associated P-Value using the Binomial Distribution to give the probability of having at least K number of events above the cutoff (median or 80th or 90th percentile). "P-Value: Simulated" reports the p-value for a simulated distribution of having at least K number of events above the cutoff (median or 80th percentile or 90th percentile) out of T total events, accounting for the cutoff value being estimated using the actual number of days in the estimation sample.
For the Uniform Rank Test, "Mean rank" is the average percentile rank of abnormal returns for events relative to the estimation window. "P-Value: Analytical" uses the uniform distribution to calculate the probability of having an average rank of K events greater than or equal to M. "P-Value: Simulated" reports the p-value for a simulated distribution of having an average of K events having rank greater than or equal to M, accounting for the ranks being estimated using the actual number of days in the estimation sample.

(b) Table VI: Small-sample tests, part 2

6.8 Table VII: Gains from coup and authorization events

Read:

- Table VII decomposes the total gain into the gain from authorization events and the gain from the first day of the new government or coup window.
- For successful coups, authorization events account for a large share of the total estimated gain.
- The text reports that for successful coups, roughly 75.5% of the relative gain comes from authorization events.
- By country, the relative contribution of authorization events is large: about 55.0% in Chile, 66.1% in Guatemala, 72.4% in Congo, and 86.9% in Iran.
- Cuba is difficult to interpret because the coup failed and the Cuban operations were public and poorly executed.

Economic message: The table shows that the value of regime change was substantially priced before the actual coup. This is the strongest economic evidence that classified planning information mattered to asset markets.

TABLE VII
GAINS FROM COUP AND AUTHORIZATION EVENTS

	Coup Begins	Coup Ends	Coup Window	First Day of New Govern- ment	12 Day Auth. Effect	Total Gain from Auth. Events	Total Gain from Auth and First Day New Gov	Relative Gain from Auth. Events
All			0.1211 (0.0463)*** 22173	0.1004 (0.0239)*** 22165	0.1204	0.3136	0.4455	0.7575
Top 4			0.1335 (0.0603)** 8571	0.1179 (0.0419)*** 8563	0.1459	0.4248	0.5928	0.7828
Chile	9/11/1973	9/11/1973	0.0613 (0.0250)** 6097	0.0613 (0.0250)** 6097	0.0183	0.0750	0.1410	0.5503
Congo	2/5/1961	2/5/1961	0.0869 (0.0947) 421	0.0869 (0.0947) 421	0.2283	0.2283	0.3350	0.7242

(a) Table VII: Gains from coup and authorization events, part 1

(CONTINUED)

	Coup Begins	Coup Ends	Coup Window	First Day of New Government	12 Day Auth. Effect	Total Gain from Auth. Events	Total Gain from Auth and First Day New Gov	Relative Gain From Auth. Events
Cuba	4/15/1961	4/20/1961	-0.0445 (0.0283) 13602	-0.0546 (0.0141)*** 13602	0.0183	0.0370	-0.0196	-2.1047
Guatemala	6/19/1954	6/28/1954	-0.1030 (0.1737) 1235	0.2274 (0.0704)*** 1235	0.2011	0.4426	0.7706	0.6606
Iran	8/15/1953	8/20/1953	0.1875 (0.1054)* 813	0.0703 (0.0526) 810	0.1359	0.4657	0.5686	0.8689

Notes: For single-country regressions, the reported coefficient is on an indicator for the relevant coup period interacted with company exposure, multiplied by the length of the relevant coup period. Multicountry regressions report the means of the country coefficients. The coup window is defined as the full length of time between the beginning and the end of the coup. The first day of the new government is the first day after the coup (in the case of Cuba, this is the first day after the end of the invasion). All regressions control for an interaction of a company dummy (or country-specific company dummy for multicountry regressions) with the four Fama-French factors. All dates where a company changed its name or changed its outstanding shares by more than 5% were dropped. Since Cuba's coup was unsuccessful, the stock price changes are negative. Standard errors reported in parentheses are the maximum of those clustered by company, clustered by date, and robust. Statistical significance at 10%, 5%, and 1% levels is denoted by *, **, and *** respectively. Pre-coup authorization event gain is the cumulative abnormal return over a 13-day period for a company in a country estimated individually. Total gains from authorization events is one plus the abnormal return to the power of the number of net events; in the case of Guatemala, the number of net events is 5 out of total 6 events since 1 event is an aborted coup and thus counted as negative; in the case of Congo, the number of net events is 1, because out of 5 events, 4 are negative; in the case of Cuba, the net events is 2 because 2 of the 6 events are negative. The multicountry desegregation raises one plus the estimated mean multicountry effect to the power of the average number of events across the relevant countries and uses the relevant multicountry first day of new government estimate for the gain from the coup event. The total gain from authorization plus coup events is the cumulative gain from the authorization events times one plus the gain from the first day of the new government. The relative gain from authorization events is the share of the total gain from the coup (including stock market rises) due to authorization events.

(b) Table VII: Gains from coup and authorization events, part 2

7 Short summary

- The paper studies whether classified coup authorizations affected the stock prices of exposed multinational firms.
- The five main cases are Iran, Guatemala, Congo, Cuba, and Chile.
- Firm exposure is measured as expropriated asset value divided by pre-regime market capitalization.
- The main regression interacts authorization-event windows with firm exposure and controls for Fama-French factors.
- A fully exposed firm earns about a 9% abnormal return over four days after a coup authorization, on average.
- Effects are larger and clearer for successful coups and for Congo, Guatemala, and Iran.
- Cuba shows no meaningful effect, consistent with the Cuban operations being unusually public and less credible.
- Robustness tests control for public events, newspaper coverage, local trends, market returns, and matched-company returns.

- Time-shifted placebos show that the effect is concentrated at the true authorization dates.
- Small-sample exact tests support the inference despite the limited number of events.
- The gain decomposition shows that much of the value of successful coups was priced before the public coup event.
- The central takeaway is that classified foreign-policy information appears to have leaked into financial markets.

8 Conclusion

8.1 Core conclusion

Dube, Kaplan, and Naidu show that top-secret coup authorizations were associated with economically large abnormal stock returns for firms that stood to benefit from regime change. The effects are strongest when the coup was credible and less publicly anticipated, and weakest in the Cuban case, where public information and operational failure were more salient. The paper’s central conclusion is that classified information about covert operations appears to have reached asset traders.

8.2 Economic intuition

The intuition is straightforward. A firm whose assets were expropriated by a hostile regime gains if that regime is overthrown and property rights are restored or compensation improves. A secret authorization raises the probability of that future payoff. If the information is truly secret, prices should not move. If prices do move, especially for highly exposed firms, then the market is learning something about the covert operation.

8.3 Incremental contribution revisited

The paper advances the literature in three ways. First, it uses asset prices to measure the value of covert foreign intervention to affected corporations. Second, it documents that classified information can leak into markets even when the policy decision is top secret. Third, it adds small-sample event-study tests that are useful when the number of events is historically limited.

8.4 Implications for political economy and finance

The findings imply that foreign-policy decisions can have large distributional consequences for firms and investors. They also imply that financial markets can reveal information about secret government actions. For political economy, the results are consistent with the idea that multinational firms had strong economic incentives around Cold War interventions. For finance, the results show that prices may aggregate private political information, but only gradually and unevenly.

8.5 Limitations

The paper cannot identify the traders who acted on the information, and it cannot prove the exact source of the leaks. It also cannot establish whether corporate interests were decisive in causing the coups. The sample is necessarily small, because it requires declassified planning documents, publicly traded exposed firms, and measurable expropriated assets. Historical exposure measures are also imperfect. These limitations do not overturn the event-study evidence, but they discipline the interpretation.

8.6 Takeaway

The enduring takeaway is that covert political events can leave visible traces in financial markets. In this paper, the traces appear in the stock prices of firms exposed to expropriation risk. Much of the value of successful coups was priced before the coup became public, suggesting that classified planning information was not fully contained within the state.